

CMR Institute of Technology, Bangalore			
Department(s): MBA			
Semester: I	Section(s): A & B	Lectures/week: 04	
Subject: FINANCIAL ACCOUNTING & REPORTING		Code: MBA102	
Course Instructor(s): DR G RAJASEKAR			
Course duration: 16-12-2024 to 28-03-2025			
Course Site: https://sites.google.com/d/1_ML2_n1TH_jev3qMG2qzdkTlb11LxAG5/p/1OfdwL2RqYTZ2DMDECOWTlv5rnRjOgCzx/edit			
Drive Link: https://drive.google.com/drive/folders/1o1EXRx6oSmg_I_Lp2VrmqNmUKXmPVdLl			

Analysis of Financial Statements: Meaning and Purpose of Financial Statement Analysis, Trend Analysis, Comparative Analysis, Financial Ratio Analysis, Preparation of Financial Statements using Financial Ratios, Case Study on Financial Ratio Analysis. Lab compulsory for Financial Statement Analysis using Excel. (Theory and Problems).

Analysis of Financial Statements: Meaning and Purpose of Financial Statement Analysis:

Financial statement analysis is used by internal and external stakeholders to evaluate business performance and value. Financial accounting calls for all companies to create a balance sheet, income statement, and cash flow statement, which form the basis for financial statement analysis.

The financial statements of a company record important financial data on every aspect of a business's activities. As such, they can be evaluated on the basis of past, current, and projected performance.

In general, financial statements are centered around generally accepted accounting principles (GAAP) in the United States. These principles require a company to create and maintain three main financial statements: the balance sheet, the income statement, and the cash flow statement. Public companies have stricter standards for financial statement reporting. Public companies must follow GAAP, which requires accrual accounting.¹ Private companies have greater flexibility in their financial statement preparation and have the option to use either accrual or cash accounting.

Several techniques are commonly used as part of financial statement analysis. Three of the most important techniques are horizontal analysis, vertical analysis, and ratio analysis. Horizontal analysis compares data horizontally, by analyzing values of line items across two or more years. Vertical analysis looks at the vertical effects that line items have on other parts of the business and the business's proportions. Ratio analysis uses important ratio metrics to calculate statistical relationships.

Types of Financial Statements

Companies use the balance sheet, income statement, and cash flow statement to manage the operations of their business and to provide transparency to their stakeholders. All three

statements are interconnected and create different views of a company's activities and performance.

Balance Sheet

The balance sheet is a report of a company's financial worth in terms of book value. It is broken into three parts to include a company's assets, liabilities, and shareholder equity. Short-term assets such as cash and accounts receivable can tell a lot about a company's operational efficiency; liabilities include the company's expense arrangements and the debt capital it is paying off; and shareholder equity includes details on equity capital investments and retained earnings from periodic net income. The balance sheet must balance assets and liabilities to equal shareholder equity. This figure is considered a company's book value and serves as an important performance metric that increases or decreases with the financial activities of a company.

Income Statement

The income statement breaks down the revenue that a company earns against the expenses involved in its business to provide a bottom line, meaning the net profit or loss. The income statement is broken into three parts that help to analyze business efficiency at three different points. It begins with revenue and the direct costs associated with revenue to identify gross profit. It then moves to operating profit, which subtracts indirect expenses like marketing costs, general costs, and depreciation. Finally, after deducting interest and taxes, the net income is reached.

Basic analysis of the income statement usually involves the calculation of gross profit margin, operating profit margin, and net profit margin, which each divide profit by revenue. Profit margin helps to show where company costs are low or high at different points of the operations.

Cash Flow Statement

The cash flow statement provides an overview of the company's cash flows from operating activities, investing activities, and financing activities. Net income is carried over to the cash flow statement, where it is included as the top line item for operating activities. Like its title, investing activities include cash flows involved with firm-wide investments. The financing activities section includes cash flow from both debt and equity financing. The bottom line shows how much cash a company has available.

Free Cash Flow and Other Valuation Statements

Companies and analysts also use free cash flow statements and other valuation statements to analyze the value of a company. Free cash flow statements arrive at a net present value by discounting the free cash flow that a company is estimated to generate over time. Private companies may keep a valuation statement as they progress toward potentially going public.

Financial Performance

Financial statements are maintained by companies daily and used internally for business management. In general, both internal and external stakeholders use the same corporate

finance methodologies for maintaining business activities and evaluating overall financial performance.

When doing comprehensive financial statement analysis, analysts typically use multiple years of data to facilitate horizontal analysis. Each financial statement is also analyzed with vertical analysis to understand how different categories of the statement are influencing results. Finally, ratio analysis can be used to isolate some performance metrics in each statement and bring together data points across statements collectively.

Below is a breakdown of some of the most common ratio metrics:

- **Balance sheet:** This includes asset turnover, quick ratio, receivables turnover, days to sales, debt to assets, and debt to equity.
- **Income statement:** This includes gross profit margin, operating profit margin, net profit margin, tax ratio efficiency, and interest coverage.
- **Cash flow:** This includes cash and earnings before interest, taxes, depreciation, and amortization (EBITDA). These metrics may be shown on a per-share basis.
- **Comprehensive:** This includes return on assets (ROA) and return on equity (ROE), along with DuPont analysis.
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The main point of financial statement analysis is to evaluate a company's performance or value through a company's balance sheet, income statement, or statement of cash flows. By using a number of techniques, such as horizontal, vertical, or ratio analysis, investors may develop a more nuanced picture of a company's financial profile.

Most often, analysts will use three main techniques for analyzing a company's financial statements.

First, horizontal analysis involves comparing historical data. Usually, the purpose of horizontal analysis is to detect growth trends across different time periods.

Second, vertical analysis compares items on a financial statement in relation to each other. For instance, an expense item could be expressed as a percentage of company sales.

Finally, ratio analysis, a central part of fundamental equity analysis, compares line-item data. Price-to-earnings (P/E) ratios, earnings per share, or dividend yield are examples of ratio analysis.

An analyst may first look at a number of ratios on a company's income statement to determine how efficiently it generates profits and shareholder value. For instance, gross profit margin will show the difference between revenues and the cost of goods sold. If the company has a higher gross profit margin than its competitors, this may indicate a positive sign for the company. At the same time, the analyst may observe that the gross profit margin has been increasing over nine fiscal periods, applying a horizontal analysis to the company's operating trends.

The objective of financial statements is to provide information about the financial position, performance and changes in financial position of an enterprise that is useful to a wide range of users in making economic decisions." Financial statements should be understandable, relevant, reliable and comparable.

Trend analysis. evaluates an organization's financial information over a period of time. Periods may be measured in months, quarters, or years, depending on the circumstances. The goal is to calculate and analyze the amount change and percent change from one period to the next.

Trend analysis is a quantitative review of what happens over a period of time. It entails the collection of data from multiple time periods and plotting the information on a line graph for further analysis. There are three types of trend analysis: geographic, temporal, and intuitive.

Trend analysis is a technique used in technical analysis that attempts to predict future stock price movements based on recently observed trend data. Trend analysis uses historical data, such as price movements and trade volume, to forecast the long-term direction of market sentiment.

The indirect method for a cash flow statement is a way to present data that shows how much money a company spent or made during a certain period and from what sources. It takes the company's net income and adds or deducts balance sheet items to determine cash flow. Cash flow statements include three sections:

- **Operating activities**, such as sales of products or services, supplies or materials bought, business expenses and employee salaries
- **Investing activities**, such as assets bought or sold and loans paid or collected
- **Financing activities**, such as those involving stocks, bonds or dividends

Business owners, investors, creditors and stakeholders monitor cash flow statements to assess a company's performance. An organization might prepare cash flow statements monthly, quarterly and/or annually.

Ratio Analysis

Meaning of Ratio

Absolute numbers tell very little. Assume that two companies A and B, operating within the same industry supply the information: One can easily say that Company B makes the most profit. But which company is most profitable? The answer for this will naturally call for further additional information relating to profit such as size of the company, the total sales it generates or to how much capital is invested in it.

Hence, an assessment or a judgment is made based on making some sort of comparison. Extending the example, If net profit is compared with Sales, an assessment can be made on which company generates the most net profit per Re.1 received from customers.

Company A : $\text{Net Profit} / \text{sales} * 100$ i.e. 5 percent and Company B it is 20 percent. If the net profit is expressed in terms of investments made by the owners in each company, it is $\text{Net Profit} / \text{Net worth} * 100$. For Company A, it is 10% and for it is 25%.

It is also known as Return on Capital Employed. ROCE.

Ratios are useful in two ways: 1. To make inter-business comparisons 2. To make comparisons across financial periods A ratio is simply one number expressed in terms of another. It is a means of highlighting in arithmetical terms the relationship between figures drawn from various financial statements.

Therefore, it refers to the numerical or quantitative relationship between two variables or items. A ratio expresses simply in one number the result of comparison between two figures. It is calculated by dividing one figure by the other. The quotient so obtained is the ratio of the figures.

Ratio can be expressed in the following three forms: 1. As proportion 2. As percentage 3. As turnover or rate The Dictionary meaning of Analysis is “separation or breaking up of anything into its elements or component parts”. Ratio Analysis is, therefore, a technique of analysis and interpretation of financial statements. Ratio analysis is the process of establishing and interpreting various ratios for helping in making certain decisions. It involves the methods of calculating and interpreting financial ratios to assess the firm’s performance and status.

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Scope

The ratio analysis is one of the most powerful tools of financial analysis. The firm is answerable to the owners, the creditors and employees. The firm can reach a number of parties. On the other hand, parties interested in the business can compute ratios based on the financial statements of the firm. The analysis is not restricted to any one aspect but takes into account all aspects such as earning capacity of the firm, financial obligation, liquidity and solvency aspects, liquidity and profitability concepts.

Objectives of Ratio Analysis Interpreting the financial statements and other financial data is essential for all stakeholders of an entity. Ratio Analysis hence becomes a vital tool for financial analysis and financial management. Let us take a look at some objectives that ratio analysis fulfils.

What Does Ratio Analysis Tell You?

Investors and analysts employ ratio analysis to evaluate the financial health of companies by scrutinizing past and current financial statements. Comparative data can demonstrate how a company is performing over time and can be used to telegraph likely future performance. This data can also compare a company's financial standing with industry averages while measuring how a company stacks up against others within the same sector.

Advantages The various advantages of ratio analysis are as follows:

- a) Financial Forecasting and Planning Ratio analysis helps in the financial forecasting and planning activities. Ratios based on the past sales are useful in planning the financial position . Based on this, future trends are set.
- b) Decision Making Ratio analysis throws light on the degree of efficiency. It is also concerned with the management and utilization of the assets. Thus, it enables for making strategic decisions.
- c) Comparison With the help of ratio analysis, ideal ratios can be composed. These can be used for comparison in respect of the firm’s progress and performance, inter-firm comparison with industry average.

d) Financial Solvency Ratios are useful tools. It indicates the trends in the financial solvency of the firm. Long term solvency refers to the financial liability of a firm. It can also evaluate the short term liquidity position of the firm. .

e) Communication The financial strength and weaknesses of a firm are communicated in a more easy and understandable manner by the use of ratios. The information contained in the financial statements is conveyed in a meaningful manner. It, thus, helps in the communication and enhance the value of the financial statements.

f) Efficiency Evaluation It evaluates the overall efficiency of the business entity. Ratio analysis is an effective instrument which, when properly used, is useful to assess important characteristics of business liquidity, solvency, profitability. A critical study of these aspects may enable conclusions relating to capabilities of business.

g) Control It helps in making effective control of the business. Actual results can be compared with the established standard and to take corrective action at the right time.

h) Other uses Financial ratios are very helpful in the early and proper diagnosis and financial health of the firm. Classifications Of Ratios The diagrammatic representation of ratios are as follows : Liquidity Ratio It means the liquidity of the firm. Liquidity is the ability of the firm to meet its current liabilities as they fall due. Since the liquidity is basic to continuous operations of the firm, it is necessary to determine the degree of liquidity of the firm. These are important because liquidity is close to the heart of the firm. A firm may have a high level of long term assets and substantial net income, but if they do not have enough cash on hand or assets that can be turned into cash fairly quickly, they will not be able to operate day to day. The liquidity ratios examine the current portion of the balance sheet : current assets and current liabilities. The implicit assumption is that current assets will be used to pay off current liabilities. This makes sense due to the matching principle (match the maturity of the debt with the duration of the need) e.g. one would not take a five year bank loan to pay off an account payable due in thirty days.

There are two ratios that determine how liquid a firm is : the current ratio and quick ratio.

1) Current Ratio It is one of the popular financial ratios. It measures the firm's ability to meet its short term obligations. This is achieved by comparing the current assets of a business with its current liabilities.. The formula for current ratio is :

Current Ratio = Current Assets / Current Liabilities Example: Current Assets Stock Debtors
Cash Current Liabilities Creditors Bank Overdraft AB Rs. Rs. 3,000 60,000 16,000 Nil 5,000
Nil 24,000 Nil Nil 10,000

The liquidity of the firms are determined by the amount of working capital available to the business. This is defined as current assets minus current liabilities. The current ratio is not expressed as a percentage but as a proportion.

The current ratio of the above two firms are: 1 for A and 5 for B. The ratio reveals a considerable difference between the two companies. Company B is five times more liquid than company A. Company A can only just cover its obligations to creditors in the short term, yet Company B can cover its obligation to the bank five times over.

Although company A would be less vulnerable if its ratio was higher, it can be argued that to have a ratio that is too high indicates inefficiency, in that too much working capital is available, which might be better invested in fixed assets.

However, it is important to identify the specific types of current assets that are excessive such as 1. Excessive stock levels, indicating poor stock control or a decline in sales volume 2. Excessive debtors, indicating poor credit control and an increasing risk of bad debts 3. Excessive cash or near cash equivalents, indicating a lack of suitable investment opportunities in capital projects.

A rule of thumb is that a ratio of 2 : 1 (Rs.2 in current assets for every Re.1 of current liabilities) is acceptable. However, the current ratio may vary from less than one in such industries as fast foods to more than two in the telephone apparatus manufacturing industry. Consequently, it is important too utilize the industry averages.

A ratio that is much higher than the industry average indicates that the firm may have excessive current assets. Further investigation may demonstrate the cause of the excess. One reason may be that the firm is having trouble in the collection of its debtors or has high inventory, both of which will be identified through the use of other ratios.

Another reason may be that the firm is holding too much cash or short term investments which could be earning more money if they were invested in long term instruments. Still another reason for a high ratio is that the firm may be at a specific point in its business cycle. The company that sells woolen goods in winter is expected to have high inventory in November, December, January and high debtors in February.

A ratio which is much lower than the industry average indicates that the firm is having liquidity problems, meaning that it may not be able to meet its short term obligations.

Accordingly, an extremely low current ratio should be a red flag to the company being analyzed. The components of current assets and current liabilities are: Current Assets: Cash in hand, cash at bank, trade debtors, bills receivable, stock, prepaid expenses, trade investments, marketable securities

Current Liabilities: Trade creditors, bills payable, bank overdraft, outstanding or accrued expenses, tax payable, provision for tax, dividends payable. 2) Liquid Ratio It is also known as Quick Ratio or Acid test Ratio. It is similar to current ratio except that it excludes inventory which is generally the least liquid current asset.

The reason for eliminating inventory may be due to two primary factors a. Many types of inventory cannot be easily sold because they are partially completed items, obsolete items, special purpose items. b. The items are typically sold on credit. This results in the creation of trade debtors or bills receivables before being converted into cash.

Citing the example, in the case of company B, the only current asset that it carries is stock. The question must be asked : is this level of stock too high or might it be essential to this type of business ? As stock is the least liquid of the current assets, prudence requires that liquidity be looked at in another way. If current assets excluding stock are compared with current liabilities, a more cautious assessment of the liquidity of the two companies is given..

This ratio is calculated as follows: Acid Test Ratio = Current assets less Stock / current liabilities The quick ratios for companies A and B are as follows : $A = 24,000 - 3,000 / 24,000 = 0.875$ $B = 50,000 - 50,000 / 10,000 = 0$ This time the quick ratio indicates that company A has a considerably better liquidity from this point of view and company B is dangerously insolvent. Solvency Ratios The ratios are analyzed on the basis of long term financial position of a firm. It is also known as test of solvency or analyzing the debt.

Many financial analysts are interested in the relative use of debt and equity in the firm. Debt refers to outside borrowings by the firm. The debt position of a firm indicates the amount of other people's money being used in attempting to generate profits.

The long term debts are of much importance to the firm since a firm is expected to commit the payment of periodic interest over the long run. In addition, repayment of loan after the expiry of maturity date has to be planned. Since the creditor's claims must be satisfied before the distribution of earnings to shareholders, present and prospective shareholders pay close attention to the degree of indebtedness and ability to repay the debts.

Lenders are also equally concerned about the indebtedness and the repayment modes. Hence, the solvency of the firm in particular needs consideration.

1) DebtRatio Debt ratios are important because debt is widely considered to be a measure of the health of the firm and the risk associated with it. If a firm has high debt, they have fixed payments which must be made. This means that limited funds may be directed to debt payment (either principal or interest or both) instead of investments. .

The debt ratio is : Total Liabilities / total assets This ratio tells you how much of the firm's assets are financed with debt. A high debt ratio indicates that the firm may be carrying too much debt. This is of concern to the firm because it may not be able to repay the debt nor to borrow additional funds they are needed.

Accordingly, a firm in this situation is considered risky because short term financing is limited and may not be available in an emergency. A low debt means that the firm has a low level of liabilities compared to its total assets. Such a ratio indicates that the firm is not risky because it has plenty of financing available when compared to its need. However, a low ratio may also indicate that the firm should take on more debt. The reason for this is that the ability to borrow is considered a resource and a firm with low debt may not be taking advantage of this resource.

2) Debt : Equity Ratio The debt : equity ratio is : Long term Debt / Shareholder's equity The debt-equity ratio deals with the long term liabilities and equity portion of the balance sheet. Note that shareholders' equity includes retained earning (Equity may also be known as net worth).

The debt-equity ratio provides information on the capital structure (relationship between debt and equity) of the firm. Such information is important because it affects the value of the firm. The value of the firm is important because it has an impact on the ability to raise funds., either through increased borrowing or the sale of shares or both.

A high debt-equity ratio indicates a poor capital structure because it signifies that the firm has high debt in comparison to its level of shareholders' equity. This means that the firm's creditors

may be concerned about the repayment of debt, which in turn leads to high interest rates, which in turn leads to higher required returns on the firm's potential investments..

A low debt equity ratio is an indication that the firm is in sound financial position and therefore is not considered risky. Normally, the debt equity ratio vary tremendously from industry to industry. Profitability Ratios A firm's profitability can be assessed relative to sales, assets, equity or share value.

The profitability ratios are important because they indicate whether the firm is doing what it set out to do : make a profit and provide a return to its investors. There are many measures of profitability.

Each relates the returns of the firm with regard to the sales, assets, equity or share value. As a group, these measures enable to evaluate the firm's earnings. The criteria for earnings can be related to a given level of sales,.

A certain level of assets, the owner's investment or share value. Earnings result in profits. Without profits, a firm may be handicapped to attract outside capital. The income statement of the firm shows the total profits earned by the firm during the preceding fiscal period. The important ratios which highlight the profitability of a firm would be as follows: 1) Gross Profit Ratio It measures the percentage of each sales value remaining after the firm has paid for its goods.

The higher the gross profit margin, the better and lower the relative cost of merchandise sold. Thus, it serves an important tool in shaping the pricing policy of the firm. The formula is : $\text{Gross Profit} = (\text{Gross Profit} / \text{Sales}) \times 100$ Where $\text{Gross profit} = \text{Sales} \text{ minus Cost of goods sold (COGS)}$ $\text{Net Sales} = \text{Cash Sales} + \text{Credit Sales} \text{ minus Sales Returns}$ It is normally expressed as a percentage. If we deduct gross profit ratio from 100, the ratio of COGS is obtained.. 2) Expenses Ratio These ratios indicate the relationship of various expenses to net sales.

Individual expenses are calculated based on the net sales and indicated as a percentage to net sales.

3) Net Profit Ratio It is also known as Net Profit Margin. It measures the percentage of each sales in rupee after all expenses including taxes have been deducted This ratio provides considerable insight into the overall efficiency of the business. A higher ratio speaks about the overall efficiency of the business. It also focuses the attention of the better utilization of total resources. A lower ratio would mean a poor financial planning and low efficiency.

A net profit margin of 1 percent or less would be unusual for a grocery store which a net profit margin of 10 percent would be low for a retail stores. It is divided by net income by net sales. The formula is : $\text{Net Profit Ratio} = (\text{Net Profit after taxes} / \text{Net Sales}) \times 100$ The net profits are calculated after excluding the income tax, the nonoperating incomes and non-operating expenses. It is expressed as a percentage on net sales.. Activity Ratios These are used to measure the speed with which various accounts are converted into sales or cash.

Measures of liquidity are generally inadequate due to the composition of the firm's current assets and current liabilities.

The activity ratios are also known as turnover ratios.

Some of the turnover ratios are as follows :

Stock Turnover Ratio : STO Debtors Turnover Ratio : DTO Creditors Turnover Ratio : CTO

1) Stock Turnover Ratio It commonly measures the activity or liquidity of the firm's stock.. The STO is also known as stock velocity.

Velocity refers to “speed” with which an object travel. Here, it is the speed on converting the stock into sales then to cash. It indicates the number of times the stock has been turned over as cash during a given period of time.

It evaluates the efficiency with which a firm is able to manage its stock.

If the cost of goods sold (COGS) is known, the STO can be calculated as follows: $STO = \frac{COGS}{\text{Average stock at cost}}$ Where $COGS = \text{Net Sales} - \text{Gross Profit}$ $\text{Average Stock} = \frac{\text{Opening} + \text{Closing Stock}}{2}$ If COGS is not known, it can be computed as follows: $STO = \frac{\text{Net Sales}}{\text{Stock}}$ 2) Debtors Turnover Ratio : DTO It is also known as Debtors velocity. The birth of debtor comes from credit sales.

Total debtors include the Bills Receivable also. The Bills receivables are written promise of trade debtors. Trade debtors are normally provided with 3 months credit time. After the expiry, they will pay cash. Thus, debtors are expected to be converted into cash within a short period. Therefore, it is included in the current assets. It is calculated as follows : $DTO = \frac{(\text{Debtors} + \text{BR})}{\text{Net credit sales}} \times \text{Number of working days}$ DTO indicates the velocity of debt collection of firm. It indicates the number of times average debtors convert themselves over into cash during a year.

Debtors care should always be taken on gross value/ Do not deduct the bad debts or provision for doubtful debts. It is expressed as the number of times. If DTO is given in months, convert it into a common base period. If it is given as a number of times, do not reduce it to a base period.

3) Creditors Turnover Ratio : CTO Creditors come into being out of credit purchases. Creditors include both trade creditors and bills payables. It is included in the current liability since the payment has to be made within three months normally.

The formula is as follows : $CTO = \frac{(\text{Creditors} + \text{Bills Payable})}{\text{Credit purchases}} \times 100$ Where $\text{credit purchases} = \text{Total purchases} - \text{cash purchases}$.

Leverage Ratio A firm's capital structure is the relation of debt to equity as sources of the firm's assets.. Normally both the owners and the creditors of the business will be interested in analyzing its capital structure.

The ratios that deal with the leverage are as follows :

1) Capital Gearing Ratio: It denotes the extent of reliance of a company on the fixed cost bearing securities viz. the preference share capital and the debentures as against the equity funds provided by the equity shareholders.

The ratio is calculated as: Capital Gearing Ratio : Fixed cost bearing capital / variable cost bearing capital Where fixed cost bearing capital = preference share capital, debentures , long term bank borrowings.

Variable cost bearing capital = equity share capital, reserves and surplus. If fixed cost bearing capital is more than the equity capital, i.e. if the ratio is more than 1, the firm is said to be highly geared.

On the reverse, it is low geared. 2) Debt-equity Ratio: The ratio compares the debt with equity. Debt refers to long term loans and liabilities.

Redeemable Preference shares are also considered as debt. This measure is helpful to assess the soundness of the long-term financial policies. It determines the relative stake of outsiders and shareholders in the company

Lower the ratio, it is considered more comfortable for the creditors financial position. 2 : 1 is taken as a satisfactory debt – equity ratio. However, it is not a very satisfactory measure. since the nominal values may bear very little relationship to their current market values.

The calculation is as follows: Debt – equity Ratio = Long term debts / Shareholders' funds + Long term debts Limitations Of Ratio Analysis Undoubtedly, ratios are precious tools in the hands of the analyst. But its significance comes from proper use of these ratios. Misuse or mishandling of these ratios and using them without proper context may lead the analyst or management to a wrong direction.

The person who uses these ratios should be well versed and should possess expertise knowledge about making proper use of these ratios.

Like all tools, ratios also suffer from several 'ifs' and 'buts' and for a thorough understanding of proper use of these ratios.

There are certain limiting factors in the case of ratio analysis.

These limiting factors are :

1. The user should possess the practical knowledge about the concerns and the industry in general.
2. Ratios are not an end. They are only means to an end.
3. A single ratio in itself is not important. The trend is more significant in the analysis. Comparison of ratios should be made.
4. For comparative purposes, there should be a standard ratio. There is no such standards prescribed for the ratios.
5. The accuracy and correctness of ratios are totally dependent upon the reliability of the data contained in the financial statement on the basis of which ratios are calculated.

6. To use ratios, first of all there should be uniformity in the accounting plan used by both the firms. In addition. There must be consistency in the preparation of financial statement and recording the transactions from year to year within that concern.

7. Ratios become meaningless if detached from the details from which they are derived. The should be used as supplementary and not substitution of the original absolute figures.

8. Time lag in calculation and communicating the same should not be unnecessarily too much.

9. The method of presentation should be precise and without any ambiguity.

10. Price level changes make the ratio analysis meaningless.

11. Inter-firm comparison should never be undertaken iin the case of concerns which are not associated or comparable. 12. All techniques concerning the ratio analysis should be taken into account.